

**CONFIDENTIAL-RESTRICTED
PURSUANT TO
46 CFR 502.5(a)(2)(i)**

FEDERAL MARITIME COMMISSION

DOCKET NO. 24-01

**Visual Comfort & Co.
v.
COSCO Shipping Lines Co. Ltd.**

**COMPLAINANT'S REPLY BRIEF
IN FURTHER SUPPORT OF ITS CLAIMS AGAINST
COSCO SHIPPING LINES CO. LTD.**

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I. INTRODUCTION

In its Opening Brief, Complainant Visual Comfort & Co. (“VCC” or “Complainant”) demonstrated that Respondent COSCO Shipping Lines Co. Ltd.’s (“COSCO” or “Respondent”) violated 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(10) by failing to comply with the incentive principle in assessing detention, demurrage, and yard storage charges (“D&D charges”) and by failing to negotiate these charges even when port congestion precluded VCC from moving its cargo.

In its opposition, rather than rebut VCC’s evidence regarding COSCO’s unreasonable D&D practices, COSCO instead focuses almost exclusively on the reparations claim RIM Logistics Ltd. assigned to VCC. In so doing, COSCO spends the majority of its brief doubling down on a blatant misrepresentation of fact—that RIM was not COSCO’s customer and that COSCO did not assess the charges at issue against RIM. COSCO even goes so far as to claim that “VCC has not entered into the record a single invoice from COSCO to RIM in which COSCO imposed charges against RIM for shipments covered by the Complaint.” Respondent’s Opposition Brief (Opp. Br.) at 64. This is false. VCC did produce invoices from COSCO to RIM explicitly showing charges at issue, which RIM then passed through to VCC. (CRX 1-31).

It was COSCO that did not produce any such invoices, even though COSCO was the entity that issued them, and they would clearly be in its possession. This fact underscores COSCO’s obstructive approach to discovery in this case and substantiates VCC’s allegations in its Opening Brief and Second Motion to Compel that COSCO has utterly failed to search for and produce relevant documents. COSCO’s strategy has been to withhold relevant documents and communications in its possession—to which VCC does not have access—and then argue that VCC cannot prove its case without those documents. Such gamesmanship should not be permitted.

The remaining arguments in COSCO's opposition likewise do not address the reasonableness of its D&D charges. Rather, COSCO argues that VCC's expert report should be precluded because COSCO does not agree with its conclusions and because minimal corrections were made to the report during discovery. These arguments are equally unavailing.

II. CORRECTIONS TO COSCO'S FACTUAL MISREPRESENTATIONS

A. RIM WAS COSCO'S CUSTOMER.

COSCO's unsupported claim that RIM Logistics, Ltd. ("RIM") was not its customer for the shipments at issue in this proceeding is demonstrably false. COSCO's argument rests entirely on the incorrect premise that COSCO did not invoice RIM for detention and demurrage. Opp. Br. at 1, 15. In fact, as evidenced by the invoices VCC produced at the very start of this proceeding, COSCO directly charged RIM for these accessorial fees. (CRX 1-31). What's more, the fact that VCC produced COSCO's invoices, *but COSCO did not*, reinforces VCC's numerous arguments related to COSCO's conscious withholding of responsive documents.

Plainly said here and detailed in VCC's Motion to Compel, Opening Brief, and Proposed Findings of Fact, COSCO has knowingly failed to produce relevant documents – including its service contracts with RIM, RIM's communications contesting COSCO's charges, and invoices issued by COSCO to RIM. This is proven by, *inter alia*, VCC's production documents bates stamped VCC000058-VCC00088, a sample of invoices sent from RIM to VCC that include detention and demurrage fees passed through directly from COSCO. (CRX 1-31, CX 761) (Takase Dep.) [REDACTED]. In each invoice for detention and demurrage charges to VCC, RIM provided scans of the invoices it received from COSCO. An example pulled from VCC000063 (CRX 6) is below:

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COSCO SHIPPING Lines (North America) Inc. As Agent For COSCO SHIPPING Lines Co., Ltd. North America Operation Center Detention (Per Diem) Invoice 15600 JFK BLVD, Suite 400, Houston Texas 77032 Toll Free Phone No: 866-830-2550; FAX No: 281-765-6881 For inquiry: http://support.cosco-usa.com/support/home E-Mail for dispute: shaperdiem@coscon.com					INVOICE NUMBER: HOU00284955 ISSUE DATE: 11 Oct 2022 CARRIER: COSCON PAYMENT DUE NET 30 DAYS APTW All Points Transport Corporation 100-110 West Columbia Street Schuylkill Haven Pennsylvania 17972				
BKG/BL Ref	Place of Receipt	Port of Loading	Port of Discharge	Final Destination	Bound Type	Charge Type	Tariff		
6341377043	Yantian	Yantian	Charleston	Charleston	Inbound	DT	201		

Container	DD Location	Rule	Rate	Container Availability	Free Time Start	Free Time Expiry	Clock End	Free Day	Billable Day	Charges	Party
COLU9364572	CHS03	Rule-1	TierRate-1	26 Sep 2022	26 Sep 2022 00:00	05 Oct 2022 23:59	11 Oct 2022 23:59	8	6	USD 1025	RIM Logistics, Ltd.

ASC 378164A NEXT TRUCKING

Total Charges: USD 1025.00

Rule: Rule-1: Detention starts 0 calendar day(s) after Last Hub Departure Detention ends 0 calendar day(s) after Empty Return	Rate: TierRate-1 Tier Rate Type: TierRate 1 - 5 days, USD 125.00 (per container / day) >= 6 days, USD 180.00 (per container / day)
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As can be clearly seen in the above invoice – COSCO is listed as the carrier, RIM is listed as the party being invoiced, and the charge type is for detention (DT) under tariff 201. (CRX 6). Furthermore, the container listed on VCC000063 is included in VCC’s total list of disputed charges. CX 1223 (VCC000005). Further evidence of that relationship were invoices showing RIM as the consignee. RIM was the party that COSCO sent arrival notices to. The terms shipper and consignee are used synonymously by the FMC (see April 2015 report) and the most relevant one is who pays. RIM paid.

Thus, irrespective of whether a COSCO had a contract with RIM, RIM was indisputably COSCO’s customer. That’s all that is required for standing purposes.

COSCO’s repeated claims that the shipments at issue were not made pursuant to service contracts with RIM are also unsupported. Though this case has been pending for a year, COSCO has never indicated that it did not have a relationship with RIM; nor has it produced testimony to that effect. And it provides no support for that claim in its brief. Indeed, the fact that COSCO *did* invoice RIM is itself evidence of a contracted customer relationship for the movement of VCC’s

containers at issue, as no NVOCC enters into a contract with a customer without being fully covered with lower rates from its ocean carrier (typically in 10-20% range).¹ COSCO would have a contractual relationship with a party sending it more than \$10 million in one year. CX 464-5 (O'Toole Dep. at 115:11-116:11).

COSCO's document collection process has been in doubt throughout this proceeding because it was lead and managed by COSCO employees rather than third party e-discovery professionals. VCC, on the other hand, retained a third-party document collection vendor and timely produced thousands of responsive documents. Contrast that to COSCO, which did not even begin to collect documents until after VCC's first Motion to Compel. Given VCC's concerns with COSCO's document productions—which, for example, are obviously missing COSCO's invoices to RIM that were instead produced by VCC--VCC noticed the deposition of COSCO's corporate representative to be questioned on, among other things, COSCO's document collection process. CX 1001 (Takase Dep. at 28:12-30:6). Unfortunately, that witness was admittedly completely unprepared at all for such questioning, and had almost no personal knowledge whatsoever regarding that topic. *Id.*

To briefly address COSCO's other factually inaccurate statements regarding VCC and RIM's relationship to COSCO, these are obvious attempts to circumvent liability with semantics related to the roles of intermediaries.

First, COSCO claims that somehow VCC was not even a shipper of cargo, but that "VCC only contracted with RIM to assist VCC with respect to shipments sent by Asian shippers pursuant to those shippers' respective service contracts with COSCO." Opp. Br. at 4. This is absurd, entirely

¹ CX 508 (McCown Report fn. 27 at 23).

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unsupported by anything in the Record, and contrary to COSCO's own admission. To quickly dispel this claim, VCC directs the Commission Complainant's Proposed Fact ¶ 7, which states, "VCC is a 'shipper' pursuant to 46 U.S.C. 40102(23)." In COSCO's Responses to Complainant's Proposed Fact ¶ 7, COSCO responded, "Admitted." Accordingly, it cannot now suddenly be contended that VCC was not even a shipper of its own cargo. Furthermore, VCC holds an assignment of claims from RIM for all shipments at issue.

Second, COSCO claims that "[t]he terms and conditions of demurrage and detention applicable to shipments destined for VCC were set by the service contracts between COSCO and the Asian shippers and/or the applicable COSCO tariff." Opp. Br. at 4. Perhaps COSCO did not realize that VCC produced explicit copies of detention and demurrage invoices sent by COSCO to RIM with the precise applicable tariffs listed. VCC000058-88. Regardless, COSCO's attempt to use unnamed "Asian shippers" to shield itself from the hard fact that RIM, on behalf of VCC, shipped its cargo into the United States via COSCO's vessels, was improperly billed detention and demurrage, and VCC ultimately paid.

Another example of brazen factual misrepresentation is COSCO's statement that, "RIM does not appear to have been acting in its licensed capacity as an NVOCC (neither VCC nor RIM produced any house bills of lading, so either they deliberately and improperly withheld responsive documents, or there were no house bills and RIM was not acting as an NVOCC)." Respondent's Opposition Brief at 4 (emphasis added). VCC directs the Commission to Columns B and C of its complete list of containers and charges at issue, which are respectively titled "MBL" and "HBL." CX 1221 (VCC000005). The former acronym stands for "Master Bill of Lading," and the former stands for "House Bill of Lading." *Id.* For every single container and charge at issue, VCC is

clearly listed both master and house bills of lading. *Id.* Accordingly, RIM was acting in its capacity as an NVOCC for every single container and charge at issue.

B. ALL CHARGES ON VCC000005 FOR “STORAGE” WERE CHARGED BY COSCO.

To continue COSCO’s theme of obfuscating the substantive legal issues with semantic factual misrepresentations, COSCO claims that storage charges are charged by the terminal and the FMC has recognized that they are different from D&D. Respondent’s Opposition Brief at 38. This is not accurate because COSCO admits that its detention and demurrage invoices include the terminals’ storage fees, and COSCO’s reliance on FMC precedent is distinguishable if not completely inapplicable to this proceeding.

First, COSCO’s own designated witness testified that the terms storage and yard storage are used interchangeably,² and that COSCO directly passes the terminal’s storage fees onto shippers.³ Mr. Takase explained that storage fees are passed through to shippers with a markup by COSCO. When asked, “Does COSCO invoice its customers for anything that it categorizes as storage charges,” Mr. Takase answered, “So we would invoice for the demurrage, which... would

² Takase:

[REDACTED]

CX 760-1 (Takase Dep. at 89:20-90:11).

³

[REDACTED]

CX 759-60 (Takase Dep. at 88:19-89:4).

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be the port storage plus the container usage fees, which we bundle together as our COSCO tariff demurrage.” CX 759 (Takase Dep. at 88:3-10). Additionally, if a shipper wants to dispute a particular day of storage, that would be done via COSCO’s dispute portal. CX 729 (Takase Dep. at 58:13-18).

Second, COSCO cites *Sameh Elawamry v. Cma Cgm (america) LLC*, 2024 WL 4491609, in support of its representation that storage charges are not the same as detention and demurrage. Respondent’s Opposition Brief at 38. However, the charges in *Elawamry* are entirely distinguishable from the charges at issue in this proceeding. In *Elawamry*, the charges at issue were the result of a customs hold, not detention and demurrage. *Id.* Accordingly, the carrier was not liable for the charges because the container release was delayed by Customs, and “did not result from any actions by [the ocean carrier].” *Id.* Nowhere in that decision does the FMC state that storage charges are categorically distinct from detention and demurrage.

In this case, VCC is not seeking reparations for containers delayed by customs holds. The charges listed in VCC00005 are all detention and demurrage fees billed by COSCO and passed through to VCC. Further, the *Elawamry* decision specified that the ocean carrier was not liable because the storage fees did not result from any actions taken by the ocean carrier, and that the ocean carrier produced evidence that it “took proactive measures to guarantee the terminal’s demurrage and dwell fees to ensure that the terminal would timely release the container.” *Id.* Not only have each of VCC’s charges at issue been directly caused by COSCO’s business decision to have its vessels depart without fully loading empty containers, but COSCO has also failed to produce any evidence that it took proactive measures to guarantee fees or to ensure that containers would be available for pickup. *See* Respondent’s Proposed Fact ¶ 97 (COSCO admission that it had vessels depart without loading empty containers).

COSCO's repeated reliance on factual misrepresentations underscores a critical issue throughout this case, which is COSCO's failure to produce relevant and responsive documents – including communications between COSCO and RIM, and COSCO's invoices to RIM. CRX 1-31 (VCC000058-88). COSCO cannot rely on any defenses predicated on VCC's lack of production of proof that COSCO charged RIM and VCC. In fact, VCC has produced many of the *COSCO documents* about which COSCO complains, whereas somehow was not produced by COSCO. *Id.*

III. LEGAL ARGUMENTS

A. VCC HAS STANDING TO SEEK REPARATIONS FROM COSCO.

Standing is another straw COSCO attempts to grasp in its desperation to defend this case by pursuing technicalities, as opposed to substantively addressing VCC's claims. COSCO claims: "Any claims for reparations VCC may hold are only those assigned to VCC by RIM. Fatally to VCC's claim, however, VCC has not demonstrated that RIM was a direct purchaser from COSCO for any of the shipments covered by the Complaint." Opposition at 10, citing *Government of the Territory of Guam v. Sea-Land Service, Inc.* FMC Docket No. 89-26, 29 S.R.R. 894 (ALJ, Admin. Final 2002).

First and dispositively, VCC has demonstrated that RIM was a direct purchaser from COSCO for the shipments covered by this proceeding. CRX 1-31 (VCC000058-88) show irrefutably that COSCO directly invoiced RIM for detention and demurrage applied to VCC's containers that are at issue in this proceeding, and that RIM then invoiced VCC for the same. Once again, COSCO is attempting to fabricate defenses based on its own withholding of documents proven to be in its possession. Documents like CRX 6 are clearly invoices issued to RIM by COSCO for detention and demurrage applied to a VCC container at issue. Why then was that same

invoice not produced in discovery? Regardless, VCC has demonstrated that RIM was COSCO's customer and as such a direct purchaser for charges at issue in this case.

Second, VCC does not concede that VCC only has standing through an assignment of claims. This issue was never decided, as VCC's acquisition of an assignment of claims from RIM rendered moot this same argument COSCO made in its Motion for Judgment on the Pleadings. However, even accepting COSCO's argument as true, VCC has an assignment from RIM and has demonstrated that COSCO invoiced RIM for containers at issue in this litigation. *See, inter alia*, CRX 1-31 (VCC000058-88).

Third, COSCO has provided no evidence, nor does it cite to the record, to support this claim that no contract or customer relationship existed between COSCO and RIM. It is obvious for dozens of reasons that RIM has a contract with COSCO, not least because of the direct invoices produced in CRX 1-31.

Accordingly, VCC has standing to prosecute its claims against COSCO and COSCO has again only served to highlight its glaring lack of good faith cooperation in discovery.

B. VCC NEED NOT PROVE ITS CASE ON A CHARGE-BY-CHARGE BASIS.

Next COSCO contends that VCC must prove that "(1) the complainant (or its agent) could not pick up or return the container on the specific date for reasons outside of its control; and (2) the charge assessed for that specific day could not have served to incentivize cargo movement." (Opp. at 6, 19 citing *TCW, Inc. v. Evergreen Line Joint Service Agreement*, 3 FMC 2d 1 (S.O. 2021), *aff'd* 5 FMC 2d 192, *vacated and remanded*, *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024) ("TCW"). According to COSCO, *TCW* stands for the proposition that "the Commission may not simply assume, as it had earlier in the proceeding, that

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the assessment of detention charges lacks incentivizing effect on dates when the complainant was unable to return containers.” Opp. At 20.

But COSCO misstates the holding in *TCW* and omits key distinguishing facts. For example, in *TCW*, the ocean carrier Evergreen allotted 21 days of free time for the container and four days of free time for the chassis, which had expired before the pre-announced closure of the Port of Savannah over the Memorial Day weekend. The court found that the FMC had failed to consider these factors and may not simply assume and summarily rule that charging detention during a port closure is unreasonable or violates the incentive principle. Instead, the court found, the FMC must “provide a logical explanation for its view,” and suggested that it do so on remand. *TCW* at 1118. Nowhere does the *TCW* ruling say that each charge must be disputed on an individual basis, and the mitigating factors presented by Evergreen in *TCW* are not presented here.

COSCO also posits that VCC’s argument that issuing detention and demurrage during period when it is not possible for a shipper to move freight does not promote freight fluidity because “[i]f there were no cost to a shipper or consignee for leaving cargo at the port, there would be absolutely no incentive to remove cargo until necessary for business, such as when space in its warehouse opens up or when it thinks the cargo is more likely to be needed.” Respondent’s Opposition Brief at 6-7. In other words, COSCO argues that a shipper can be incentivized to move its cargo even when it is not possible to do so. COSCO again relies on *TCW* for this supposition, but again, *TCW* does not support this illogical leap. In *TCW*, the court found that it was not inherently unfair to charge detention and demurrage over a holiday weekend where the shipper had the opportunity to move its cargo during extensive allotted free time prior to the closure. Those are very specific circumstances, and COSCO has presented no similar circumstances, facts, or

arguments here. Indeed, there is no evidence of this in the record, and VCC's witnesses testified they always made best efforts to move their cargo. PFOF ¶116.

Instead, it argues that the *TCW* court's finding that the FMC should provide additional grounds and explanation for its view on the charges levied over the holiday weekend in that case somehow stands for the proposition that (1) all charges must be disputed on an individual basis, and (2) charging detention and demurrage fees when it is not possible for a shipper to move its cargo satisfies the incentive principle and promotes freight fluidity. That is simply not the case, and *TCW* does not stand for that proposition at all.

C. COSCO'S INVOICING PRACTICES WERE UNREASONABLE.

COSCO's claims that its invoicing practices were fair and reasonable are similarly unavailing. COSCO suggests that so long as the face of its invoices and its dispute resolution process complies 46 C.F.R. 541.7 and 541.8, its practices are inherently fair. Opp. at 54. Not so.

COSCO's corporate representative Tom Takase definitively testified that COSCO invoices made representations that COSCO did not contribute to the underlying invoiced charges *by default*. Unless there was a filed dispute, the shipper was presumed to be at fault. COSCO did nothing to investigate whether it was at fault for any delays that resulted in charges, and instead routinely shifted the burden to the shipper to prove otherwise. CX 766 (Takase Dep.) at lines 4-12 ("The only proactive measures that we take is that if there's known gate closures of a terminal preventing empty receiving, those are updated in our system to black out those dates. Other than that, we, you know -- customers would have to dispute the received invoice with the valid supporting documents to support their dispute, and then it's adjusted after the fact.").

In other words, COSCO's custom and practice is to automatically include on its invoices a statement that any charge contained therein were not its fault, without doing any investigation

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whatsoever to verify that this statement was in fact true. This cannot possibly comply with the law or spirit of 46 U.S.C. 41104 § (d)(2)(M) (requiring “[a] statement that the common carrier’s performance did not cause or contribute to the underlying invoiced charges.”).

Moreover, COSCO customers were forced to pay the fees at issue—summarily presumed to be the customer’s fault absent a known port or gate closure—even if they were disputed. This is because COSCO would hold the cargo hostage until the fees were paid regardless of whether they were reasonable, just, or warranted—an outcome that is the opposite of promoting freight fluidity—since only after the charges were paid since the cargo would not be released unless the charges are paid. CX 1072 (Takase Dep.) at lines 10-14 (“Our recommendation would be, of course – because a lot of the disputes could be after the fact -- that the customer doesn’t allow the clock to run because that’s only going to make the situation worse [for the customer] as far as costs.”).

This is well-established as an unfair practice. In *Adebisi A. Adenariwo 7 v. BDP International, ZIM Integrated Shipping, Ltd. and its agent (Lansal) et. al.*, Informal Docket Nos. 1920(1) and 1921(1), ZIM’s agent refused to release cargo until Complainant paid the outstanding demurrage fees for a separate container that had previously arrived in port. As a result, demurrage fees began to accrue on both containers. The FMC’s settlement officer held that ZIM had violated section 41102(c) of the Shipping Act by refusing to release container No. 2 because of the unpaid demurrage fees from container No. 1, but did not award the full requested damages finding that Complainant could have mitigated its damages by paying demurrage fees on the two containers and disputing them later. On appeal before the United States Court of Appeals for the District of Columbia Circuit, the appellate court held the FMC improperly reduced Complainant’s reparations award, finding that under the “the settlement officer’s reasoning, a wrongdoer, such as ZIM, can

set unlawful conditions for the release of an injured party's property and have the damages it owes the injured party reduced if the injured party cannot or does not meet those unlawful conditions." *Adenariwo v. Fed. Maritime Comm'n*, 808 F.3d 74, 80 (D.C. Cir. 2015). It further held that "[m]itigation does not allow a wrongdoer to shift the cost of its malfeasance to the injured party." *Id.* That is precisely what COSCO does as a matter of routine and practice here.

There practices are not reasonable and COSCO's arguments that these practices are "used by most" ocean carriers (Respondent's Opposition Brief at 54) does not make it so.

D. THE PRESIDING OFFICER SHOULD DRAW ADVERSE FACTUAL INFERENCES AGAINST COSCO DUE TO ITS VIOLATIONS OF HER JULY 2024 ORDER.

1. COSCO Violated the Presiding Officer's Order Granting VCC's Motion to Compel Responses to RFD6 and Supp. RFD 5.

COSCO conflates VCC's obligation to introduce evidence sufficient to prove its case by the preponderance of the evidence with an obligation to produce all such evidence without discovery from COSCO. Throughout this case, COSCO has delayed and evaded its discovery obligations, thereby precluding VCC from obtaining critical documents and information that COSCO would have in its possession, but VCC would not. Most egregiously, COSCO has refused to conduct searches for communications with NVOCCs, including RIM, in all relevant custodians, and it has refused to search for discussions of COSCO's policies and practices regarding detention and demurrage.

COSCO claims that this failure to comply with its discovery obligations is excusable because VCC could obtain the requested discovery from non-party RIM. Nothing in the Federal Rules or the FMC rules supports this assertion. RIM has assigned its right to recovery to VCC to allow VCC to pursue this case in its own interests—RIM is not itself a party; nor has it granted VCC

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full access and rights to its documents and employees. VCC is entitled to support its case using discovery obtained from COSCO.⁴

COSCO's history of non-compliance with its discovery obligations is straightforward. VCC's Complaint alleges that COSCO implemented unreasonable detention and demurrage policies, whereby it charged its customers when they were unable to move their cargo, and it refused to negotiate with its customers about the charges. It is undisputed that COSCO's communications with NVOCC's, including RIM, and its policies on detention and demurrage are relevant to these allegations. Yet COSCO has refused to adequately search for and produce this information.

For ease of reference, a timeline of the dispute is as follows:

- March 27, 2024:** VCC served discovery requests (RFD6) seeking COSCO's correspondence related to detention and demurrage charges and port congestion during the relevant time period. *See* CX 887.
- April 15, 2024:** VCC served supplemental discovery requests (Supp. RFD 5) again seeking correspondence related to detention and demurrage charges and port congestion during the relevant time period. *See* CX 897
- May 30, 2024:** COSCO objected to these requests and only produced 18 pages in response, solely comprising emails with an unrelated customer. *See* (CX 875, 901-918).
- May 31, 2024:** VCC moved to compel the production of responsive documents.
- July 29, 2024:** The Presiding Officer ordered COSCO to produce documents responsive to RFD6 and Supp. RFD 5. (CX 966-67).
- August 9, 2024:** The parties met and conferred. COSCO's counsel represented to VCC's counsel that all relevant communications would be in its U.S. complaint portals. It did not identify any other custodians that may have relevant communications. (CX 875-76).

⁴ COSCO also attempts to excuse its discovery deficiencies by claiming that it had certain disputes with VCC. This is entirely irrelevant, as all disputes COSCO raised with VCC about its document productions have been resolved.

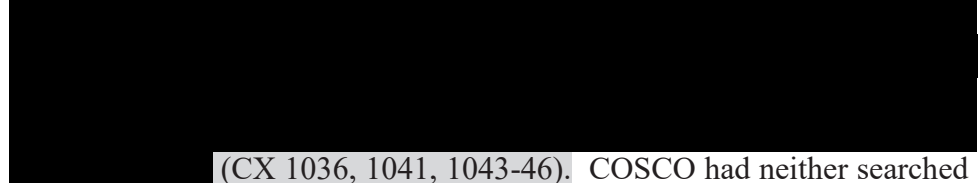
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September 4, 2024: COSCO produced 390 documents pulled from its Customer Service Portal. (CX 876).

September 18, 2024: COSCO produced two invoices. *Id.*

October 8, 2024: COSCO produced certain bills of lading. *Id.*

October 9, 2024: VCC deposed COSCO's 30(b)(6) corporate designee, Tom Takase. Mr.



(CX 1036, 1041, 1043-46). COSCO had neither searched these email addresses nor disclosed them to VCC as potential custodians. This was the first time VCC learned of these custodians—9 days before the close of discovery.

October 10, 2024: VCC memorialized in writing its requests on the record at Takase's deposition that COSCO collect and search the email accounts SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, perdiem@cosco-usa.com,⁵ and the email accounts for Tom Takase, Phil Taylor, and Chris Smith.. *See* (CX 1153).

October 16, 2024: COSCO provided its written responses to VCC's requests, in which it agreed to search the custodians Tom Takase, Phil Taylor, and Chris Smith and claimed that it had "previously" conducted a search of shaperdiem.coscon.com. COSCO refused to search custodians James Houghtalin and Paulina Wang. (CX 1174).

COSCO's counsel further advised that COSCO refused to consent to an extension of the discovery period, which was set to end on October 18, notwithstanding that "[w]e confirm that we cannot and will not produce the requested testimony/documents within the time remaining in the discovery period." (CX 1167).

VCC filed its Second Motion to Compel, requesting that the Presiding Officer require COSCO search for and produce all responsive communications⁶ by October 25 to give VCC sufficient time to consider

⁵ These email accounts are also found in COSCO's initial 18 page-production. Following Mr. Takase's testimony it is now clear that these accounts would also contain relevant communications.

⁶ Additionally, VCC's motion detailed COSCO's utter failure to prepare its corporate designee to testify to five of the ten topics in VCC's 30(b)(6) deposition notice. Critically, these topics included COSCO's policies and procedures for establishing tariff per diems at ports, its policies for managing port congestion, and its policies and practices regarding the retention, collection and production of documents for this litigation. VCC's Second Motion to Compel currently remains

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them before filing its Opening Brief. VCC further requested that if COSCO could not produce such documents in a timely manner, the deadline to file VCC's opening brief be extended, or alternatively, that the court draw certain adverse inferences against COSCO. (Dkt. 50).

October 18, 2024: Discovery end date.

October 23, 2024: In its opposition to VCC's Second Motion to Compel, COSCO represented that it did in fact the shaperdiem@coscon.com email address, stating that "COSCO searched [shaperdiem@coscon.com] in accordance with Complainant's search terms and all responsive documents were produced to Complainant." (Dkt. 51, pg. 9).

November 8, 2024: VCC filed its Opening Brief, without the benefit of the requested discovery from COSCO.

November 12, 2024: COSCO advised VCC that it completed its search of custodians Tom Takase, Christine Smith and Phil Taylor, and it found no responsive documents. (CRX 32).

November 15, 2024: The Presiding Officer issued an order stating that she would defer a decision on VCC's Second Motion to Compel until the final briefing.

December 6, 2024: COSCO, for the first time in its opposition brief, states that shaperdiem@coscon.com, the email address listed on COSCO's invoices, to which all inquiries regarding detention fees are to be directed, and which COSCO had previously represented both in its discovery response and in its Opposition to VCC'S Second Motion to Compel *had been searched*, is not in fact an email address but rather a distribution comprising other email addresses. Opp. Br. at 14. COSCO did not identify the email addresses that comprise the distribution list and has never identified or searched those custodians.

In summary, COSCO has not produced a single email in this litigation, other than COSCO_000001-18, which pertain to an unrelated customer. COSCO refused to produce correspondence with its customers until it was ordered to do so on July 29. It then did not complete its productions until October 8, the day before the deposition of its 30(b)(6) witness. (CX 876). And it did not disclose to VCC that it had not searched multiple relevant custodians until October 9, the day of its 30(b)(6) deposition. (CX 1036, 1041, 1043-46). It then refused to consent to an

pending.

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extension of the briefing schedule to allow VCC to obtain the discovery it had been requesting since March 2024. (CX 1167). And it now advises, for the first time in its Opposition Brief, that it has had a completely incorrect understanding of one of the main custodians VCC requested that it search—shaperdiem@coscon.com--at least until after VCC filed its Opening Brief.⁷ (Opp. Br. at 14).

COSCO explains in its Opposition Brief that the email address listed on COSCO's invoices, to which all inquiries regarding detention fees are to be directed, is not in fact an email address but rather a distribution list comprising other email addresses. *Id.* COSCO provides no citations to the record for this assertion. And it has never disclosed this fact to VCC or given it an opportunity to obtain discovery regarding what email addresses are included in the distribution list and to request that they be searched. COSCO's counsel claims, again without support, that all responses from the email addresses on the distribution list would have been included in the customer complaint portals that it did search. *Id.* But this is unsupported by the record. And, by counsel's own explanation, its searches of the U.S. customer complaint portals would not have captured emails sent to shaperdiem@coscon.com that did not receive responses. VCC is entitled to discovery of each custodian who would have received communications sent to shaperdiem.coscon.com.

COSCO again uses fractious rhetoric to deflect on this subject, stating that "Complainant also makes vague noises about something called 'shaperdiem.'" Opp. Br. at 14. This is an insincere description of the issue, given that (1) the shaperdiem.coscon.com is the contact address COSCO

⁷ As discussed below, COSCO's claim that it searched all of the requested custodians is inaccurate because it refused to search custodians James Houghtalin, and Paulina Wang and it has provided no explanation as to whether it searched the addresses perdiem_CDS@coscon.com, perdiem@cosco-usa.com. (CX 1174).

includes on its invoices, (2) the parties' discussed this email address at length during Mr. Takase's deposition, and (3) this email address was the subject of extensive argument in Complainant's Second Motion to Compel. (CX 995-996, Dkt. 50). Not once during any of the parties' discussions did COSCO explain that shaperdiem.coscon.com was not an email address that could be searched but rather a distribution list. To the contrary, COSCO explicitly represented, at least twice, that it *had* searched that email address. (CX 1174, Dkt. 51. Pg. 9).

2. COSCO Brazenly Attempts to Benefit from its Dilatory Conduct.

Due to COSCO's failure to disclose the custodians with relevant information, VCC did not learn that COSCO's searches had been deficient until the Takase deposition on October 9. After meeting and conferring, VCC immediately filed its Second Motion to Compel a week later, on October 16, prior to the discovery end date. COSCO's claim that VCC's motion was untimely is incorrect, as the motion was filed while discovery was ongoing, and the only reason it was not filed earlier was that COSCO did not disclose the additional custodians until October 9.

COSCO similarly argues that VCC should not be granted an adverse inference because such relief is only available once a motion to compel has been filed and granted. This point is unavailing because VCC *did file* a motion to compel the subject communications back in May 2024, and *the motion was granted* on July 31. COSCO attempts to remove VCC's requests from the ambit of that order by framing VCC's requests following Mr. Takase's deposition as a "supplemental request for additional searches/document production." Opp. Br. at 14. This is disingenuous. VCC's requests following the Takase deposition merely reiterated its previous requests, with a specific demand that the searches be conducted in custodians that COSCO had failed to search. (CX 1153). Indeed, COSCO itself acknowledges that the requests are the same, as it states in its written responses to these "supplemental" requests that they are "duplicative of

RFD6 and Supplemental Request No. 5,” which were the subject of the Presiding Officer’s July 31 order. (*see* CX 1170-74).

3. VCC has Been Prejudiced by COSCO’s Conduct.

COSCO admits that it did not notify VCC that its searches of custodians Tom Takase, Phil Taylor, and Chris Smith resulted in no responsive documents until after VCC filed its Opening Brief. COSCO further admits that it did not understand the nature of the shaperdiem.coscon.com email address until after VCC filed its Opening Brief and that it has not identified or searched the custodians that comprise the distribution list. Finally, COSCO has not withdrawn its objections to and refusals to search custodians James Houghtalin, and Paulina Wang⁸ and it has provided no explanation as to whether the addresses perdiem_CDS@coscon.com, perdiem@cosco-usa.com were searched. Indeed, COSCO’s counsel admit that they were “confused” about what searches were conducted. Opp. Br. at 14.

VCC has thus been deprived of the opportunity to obtain communications between COSCO and its customers regarding detention and demurrage charges and communications about COSCO’s detention and demurrage policies during the relevant time period. As discussed at length in VCC’s Second Motion to Compel, COSCO likewise refused to produce a corporate designee prepared to testify to its practices regarding the retention or preservation of documents, its

⁸ In its October 16 objections, COSCO refused to search James Houghtalin because his communications would be attorney client and work product privileged and Paulina Wang because her employment began after the relevant time period. (CX 1174). Its objection related to Mr. Houghtalin is unacceptable- it is not true that all communications to and from in house counsel are uniformly privileged. Rather, COSCO has an obligation to search such emails, review for privilege, and provide a privilege log. Likewise, if Ms. Wang does not have relevant emails because of her start date, COSCO should provide the name of Ms. Wang’s predecessor. Its conduct in failing to provide this information until the end of discovery does not excuse it from producing such documents.

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production of documents for this litigation, and its detention and demurrage policies. Takase Dep. 24:18-25:22 (CX 695-66).

COSCO's only defense to its obstructive conduct is that it was harmless because it has now conducted the requested searches and has found no responsive documents. As discussed above, COSCO has not conducted all requested searches, as it has not searched the custodians identified by Mr. Takase and in its production, specifically James Houghtalin, Paulina Wang, perdiem_CDS@coscon.com, and perdiem@cosco-usa.com. Nor has it searched the email addresses included in the shaperdiem.coscon.com distribution list.

Moreover, even within the custodians COSCO did search, the fact that it did not find a single document indicates that the search terms may have been overly narrow; it does not mean that no responsive documents exist.⁹ Because COSCO's counsel only advised that the searches it conducted with the respect to custodians Tom Takase, Christine Smith and Phil Taylor returned zero hits weeks after the close of discovery, and after VCC filed its Opening Brief, VCC was deprived of the opportunity to meet and confer with COSCO regarding additional search terms that may have returned relevant documents.¹⁰ Discovery is an iterative process, and VCC should

⁹ To the extent that COSCO is claiming that VCC is not entitled to relevant documents simply because they were not captured by the narrow search terms COSCO agreed to, this is blatant gamesmanship. COSCO's responsibility to produce relevant information is not limited solely to the initial search terms. Indeed, "an ESI protocol and search terms work in tandem with the parties' obligations under the Federal Rules and do not replace a party's independent obligation to produce electronic (or paper) documents that are reasonably accessible, relevant, and responsive within the meaning of Rule 34." *The Raine Grp. LLC v. Reign Cap., LLC*, 2022 WL 538336, at *1 (S.D.N.Y. Feb. 22, 2022).

¹⁰ COSCO's approach to discovery can be summed up by its statement that it did not identify Tom Takase, Christine Smith and Phil Taylor as custodians prior to Mr. Takase's deposition because it "thought it unlikely that they would have responsive documents." Opp. Br. at 14. This is an odd statement, given that the person COSCO identified as prepared to testify about its document collection strategies explicitly testified that these witnesses *would* have relevant information. (CX 778, 821, 1080, 1122, 1123 (Takase Dep. at 107:6-22; 149:1-150:12).

have been able to explore additional search terms, beyond the narrow search terms to which COSCO initially agreed, once it learned that no relevant documents were not uncovered.¹¹ *See Doe I v. Nat'l Collegiate Athletic Ass'n*, 2024 WL 4012008, at *2 (S.D. Ind. Apr. 8, 2024) (“ESI discovery is typically an ‘iterative process,’ and the Court expects that this process will take place both as the rolling production occurs and after Plaintiffs’ production ordered herein is complete. In other words, Plaintiffs’ obligation to respond to the requests will not be satisfied by the completion of the protocol Plaintiffs have devised.”); *Walker v. N. Las Vegas Police Dep’t*, 2016 WL 8732300, at *3 (D. Nev. May 13, 2016) (“Where, as here, counsel are using keyword searches for retrieval of ESI, the parties must “work together to implement [an] iterative process for finalizing the search terms[.]” (quoting *Cannata v. Wyndham Worldwide Corp.*, 2012 WL 528224, *4 (D. Nev. Feb. 17, 2012)). Had COSCO disclosed all relevant custodians and conducted the agreed upon searches in a timely manner, the parties could have engaged in this iterative process. It did not.

Indeed, COSCO’s accusations regarding VCC’s alleged misconduct support this very point—ESI searches are an imperfect and evolving process, and parties are entitled to information regarding their adversary’s documents and custodians to ensure that a fulsome search was conducted. COSCO notes that VCC learned during depositions of its witnesses that some relevant documents had not been captured by its ESI searches. COSCO admits that VCC then immediately searched for and produced those documents to COSCO, prior to the discovery end date. COSCO does not allege that VCC has refused to produce any information it requested. By contrast, COSCO has refused to provide VCC with information about its document storage and production policies,

¹¹ On that note, if the search terms returned zero hits, there is no reason it for COSCO to have waited over a month to provide that information, advising VCC of this result only after the close of discovery and the filing of VCC’s Opening Brief.

and to search all relevant custodians. Thus, COSCO simply cannot rest its argument on the idea that its error was harmless because it has not engaged in a sufficient process for VCC to even determine whether the appropriate custodians have now been identified and searched and whether the search terms COSCO applied were sufficient.

Finally, COSCO claims that VCC must somehow prove that the communications it requests exist despite COSCO's failure to search for them. The case on which COSCO relies itself highlights the problematic nature of this approach. The court in *Linde* opined that, "[a]s the Second Circuit recognized in *Kronisch*, this 'task is unavoidably imperfect, inasmuch as, in the absence of the [withheld] evidence, [a court] can only venture guesses with varying degrees of confidence as to what the missing evidence may have revealed.'" *Linde v. Arab Bank, PLC*, 269 F.R.D. 186, 195–96 (E.D.N.Y. 2010). Indeed, "[w]hile '[j]ust how much evidence is enough to support an inference about the content' of non-produced evidence 'will necessarily vary from case to case,' courts should 'remain mindful of Wigmore's admonition that 'care should be taken' not to require too specific a level of proof' lest withholding parties profit from their disobedience and 'innocent parties meant to benefit from the adverse inference ... receive no benefit at all, having been deprived of evidence that may be crucial to their case.'" *Id.* at 196 (citing *Kronisch*, 150 F.3d at 128. Moreover, "[w]hatever level of proof a court requires, it 'must be less than the amount that would suffice to survive summary judgment' on the issue for which the inference is sought." *Id.*

As discussed above in Point II(A), VCC has produced invoices showing that COSCO charged RIM for the detention and demurrage charges at issue in this case. That information is sufficient to "suggest[] that" communications between RIM and COSCO about the subject shipments exist. *See Rana v. Franklin.*, 2020 WL 948584, at *1 (ALJ, Feb. 12. 2020). The fact

that COSCO did not produce these invoices further reinforces VCC's claim that COSCO has failed to search for and produce responsive documents.

Accordingly, for the reasons set out above and in VCC's Opening Brief, the Presiding Officer should draw adverse inferences that:

1. All charges issued to VCC by COSCO in the relevant time period were properly disputed on the basis that they were not able to move the object cargo, and COSCO did not agree to extend free days or waive or reduce them.
2. COSCO has no internal policy regarding the appropriate issuance of detention, demurrage, per diem, or storage charges or handling disputes about such charges.
3. COSCO refuses to make accommodations on free days or to waive its fees even where there are circumstances outside the shipper's control preventing loading or unloading.

E. JOHN MCCOWN'S EXPERT REPORT AND TESTIMONY ARE ADMISSIBLE.

COSCO raises three arguments against McCown's Report and testimony. First, COSCO argues that Mr. McCown's report is irrelevant because it does not apply COSCO's legal theory. Second, COSCO argues the report is unreliable. Third, COSCO claims that the report should not be considered because it was corrected after it was served. Each argument is meritless. To the contrary, Mr. McCown's expert report readily meets the requirements of Rule 702.

1. Legal Standard

Under Federal Rule of Evidence 702, the Court serves as the "gatekeeper" of expert testimony by "ensuring that an expert's testimony both rests on a reliable foundation and is relevant to the task at hand." *Daubert v. Merrell Dow Pharm.*, 509 U.S. 579, 597 (1993); *see also Kumho Tire Co. v. Carmichael*, 526 U.S. 137, 141 (1999). "As gatekeeper, a trial judge has three duties: (1) confirm the witness is a qualified expert; (2) check the proposed testimony is reliable and relates to matters requiring scientific, technical, or specialized knowledge; and (3) ensure the expert's testimony is sufficiently tied to the facts of the case, so that it fits the dispute and will

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assist the trier of fact.” *UGI Sunbury LLC v. A Permanent Easement*, 949 F.3d 825, 832 (3d Cir. 2020).

To be qualified as an expert, the witness must have “specialized knowledge.” *In re Paoli R.R. Yard PCB Litig.*, 35 F.3d 717, 741 (3d Cir. 1994). But the specialized-knowledge requirement is applied “liberally,” and courts have “eschewed imposing overly rigorous requirements of expertise” so long as the expert has sufficient “generalized qualifications.” *Id.* “The basis of [the expert’s] specialized knowledge can be practical experience as well as academic training and credentials.” *Elcock v. Kmart Corp.*, 233 F.3d 734, 741 (3d Cir. 2000) (citation omitted). Further, the expert does not need “to be the best qualified or...have the specialization that the court considers most appropriate.” *Pineda v. Ford Motor Co.*, 520 F.3d 237, 244 (3d Cir. 2008). Instead, the proffered expert witness need only possess some “skill or knowledge greater than the average layman” that is relevant to the issue at hand. *Elcock*, 233 F.3d at 741; *see also Auto Konnect, LLC v. BMW of N. Am., LLC*, 590 F.Supp.3d 977, 984 (E.D. Mich. 2022) (finding an industry expert to be qualified to testify regarding automotive industry customs and practices, as well as the market for external service providers based on the expert’s more than 40 years of experience working in the automotive industry, with 30 of those years working at a major automotive company as a senior executive of the Customer Satisfaction Division). After determining an expert is qualified, the “trial judge must ensure that any and all [expert] testimony...[is] reliable.” *Daubert*, 509 U.S. at 589; *see also Kumho Tire Co.*, 526 U.S. at 141. To be sufficiently reliable, the expert’s testimony need not have “the best foundation, or even ... [be] supported by the best methodology or unassailable research.” *UGI Sunbury*, 949 F.3d at 834 (citation omitted). For testimony from an industry expert about the customs and business practices in that industry, reliability is determined by whether the expert has acquired enough knowledge and experience in the industry to understand

and draw conclusions about the topic based on his experience with the kind of practice at issue. *Metavante Corp. v. Emigrant Sav. Bank*, 619 F.3d 748, 761-62 (7th Cir. 2010); *Chi. Painters & Decorators Pension, Health & Welfare, & Deferred Sav. Plan Tr. Funds v. Royal Int'l Drywall & Decorating, Inc.*, 493 F.3d 782, 787-88 (7th Cir. 2007).

2. McCown's Report is Relevant.

COSCO argues that McCown's report is irrelevant because it does not support COSCO's legal theory, (2) it contains prohibited opinions of law; and (3) it contains forbidden state of mind opinions. Each argument fails.

a. McCown's Report is Relevant Because it Speaks to the Reasonableness of COSCO's Detention and Demurrage Charges.

COSCO alleges that the McCown report must be stricken because it is contrary to COSCO's own interpretation of the law. In support, COSCO simply reiterates its understanding of the Shipping Act and FMC precedent. It argues that McCown's report is irrelevant because it does not address the *TCW* case and does not analyze COSCO's charges on a shipment-by-shipment, container-by-container basis. These arguments are not a specific criticism of McCown's report, but rather a reiteration of COSCO's argument regarding the standard the FMC applies in assessing detention and demurrage charges. These arguments are addressed at length in Point III(B) and (C) *supra*, and need not be addressed again here.

COSCO next argues that Mr. McCown's analysis of COSCO's financial performance as compared to the industry as a whole is irrelevant to this matter, essentially for the same reason—that it does not help the finder-of-fact analyze specific shipments on specific days. As discussed above, this is not the standard. McCown's report speaks directly to the reasonableness of COSCO's detention and demurrage charges during the pandemic, as he concludes that COSCO's financial

performance indicates that it used detention and demurrage charges to generate revenue rather than to incentivize the movement of goods. His comparison to the industry as a whole shows that COSCO's implementation of detention and demurrage charges during the pandemic were more aggressive than the industry, further supporting their unreasonableness. (CX 532). That COSCO disagrees with this theory does not make it irrelevant—rather, that is the entire reason COSCO retained a rebuttal expert.

b. McCown's Report Does Not Contain Prohibited Opinions of Law.

COSCO broadly asserts that McCown's report must be excluded because it constitutes a prohibited opinion of law. This is not so. Mr. McCown's report extensively analyzes COSCO's financial performance during the pandemic, the industry performance during the pandemic, and COSCO's specific charges to VCC. Mr. McCown concludes that (1) COSCO's financial performance during the pandemic indicated its detention and demurrage practices were more aggressive than the rest of the industry; (2) COSCO's improved performance during the pandemic was driven by its aggressive detention and demurrage practices; (3) VCC did not cause the port congestion during the pandemic that resulted in increased detention and demurrage charges; (4) COSCO's detention and demurrage rates far exceeded the underlying costs; and (5) COSCO's detention and demurrage practices did not incentivize the movement of goods. (CX 532-60).

COSCO's argument rests solely on a few statements made without context and a list of words COSCO dubs "legalese." These discussions are the result of Mr. McCown's extensive and lengthy experience in the industry. To the extent that Mr. McCown discusses the incentive principle, it is in the context of the issue whether COSCO's detention and demurrage charges served to incentivize cargo movement—a factual question. *See* (CX 533, 546). Indeed, "it is clear beyond cavil that an expert may give 'his opinion as to facts that, if found, would support a

conclusion that the legal standard at issue was satisfied[.]” *Rothe Dev., Inc. v. DOD*, 107 F. Supp. 3d 183, 200 (D.D.C. 2015) (quoting *Kapche v. Holder*, 677 F.3d 45, 464, 400 U.S. App. D.C. 201 (D.C. Cir. 2012) (internal citations omitted)).

Moreover, even were the few phrases COSCO extracted to be interpreted as legal opinions, the “appropriate remedy for an alleged statement of legal opinion is to exclude only that particular portion of testimony.” *Id.* at 202 (citing *Halcomb v. Wash. Metro. Area Transit Auth.*, 526 F. Supp. 2d 24, 27 (D.D.C. 2007) (excluding expert’s opinions only “to the extent that they are phrased in terms of inadequately explored legal criteria or otherwise tell the [trier of fact] what result to reach”)). Exclusion of the few phrases and statements COSCO identifies has no bearing on the conclusions in Mr. McCown’s report.

c. McCown’s Report Does Not Contain Prohibited State of Mind Opinions.

McCown’s report likewise does not contain prohibited state of mind opinions. Notably, COSCO does not even attempt to quote the alleged state of mind assertions in Mr. McCown’s report. This is because Mr. McCown is not speculating as to COSCO’s intent with respect to detention and demurrage. Rather, he analyzes COSCO’s financial performance and determines, as a matter of fact, that its performance improved during the pandemic due to aggressive pricing practices, including detention and demurrage charges. (CX 535-55).

3. McCown’s Report is Reliable.

COSCO erroneously argues that McCown’s report is not reliable because it is premised on flawed assumptions, he failed to consider alternatives, and it contains factual errors.

COSCO’s argument that Mr. McCown’s assumptions are not valid is again a reiteration of its factual misrepresentations, i.e., that RIM was not COSCO’s customer and that COSCO did not charge storage charges. These arguments are refuted in Points II(A) and (B) *supra*.

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COSCO's remaining arguments about reliability are likewise misplaced. The validity of the facts underlying the report is a question the fact finder—it is not a basis for excluding an expert's report. *See Rothe Dev.*, 107 F. Supp. 3d at 202 (“[A]n attack on the underlying disparity studies does not necessitate the remedy of exclusion; rather, it is clear that “[v]igorous cross-examination, presentation of contrary evidence, and careful instruction on the burden of proof are the traditional and appropriate means of attacking shaky but admissible [scientific] evidence.”); *Boyar v. Korean Air Lines Co.*, 954 F. Supp. 4, 7 (D.D.C. 1996) (“[I]t is not proper for the Court to exclude expert testimony merely because the factual bases for an expert's opinion are weak.”); *SEC v. Johnson*, 525 F. Supp. 2d 70, 76 (D.D.C. 2007) (In its gatekeeping function, this Court must be focused solely on the reliability and relevance of the testimony that an expert witness proffers, and it is up to the factfinder “to determine whether [an expert's] opinions are suspect because facts upon which he relied were shown to be inaccurate or unproven.”) (footnote omitted)).

a. McCown is Qualified to Offer Opinions on Global Container Shipping, Including a Carrier's Policies, Practices, and Procedures in Handling Cargo.

Mr. McCown offers the Presiding Officer a valued perspective into issues pertaining to this lawsuit. Mr. McCown's experience as a container shipowning CEO, grounded in the U.S. market, and the perspectives that come with it in regard to customer service and the avoidance of gouging is the type of experience recognized by the Federal Rules of Evidence as a useful tool in ultimately determining the adjudication of VCC's allegations.

A witness may be qualified as an expert by knowledge, skill, experience, training, or education. Fed. R. Evid. 702. Mr. McCown's industry knowledge is extensive. For nearly thirty years, Mr. McCown has worked in container shipping, holding executive positions at McLean and Trailer Bridge. After receiving his MBA from Harvard Business School, he joined McLean where

he worked closely with Malcom McLean, the inventor of intermodal container shipping. McLean was the parent company of U.S. Lines, Inc., one of the largest container shipping companies in the world. (CX 527-28).

At McLean, Mr. McCown was involved in all major projects involving U.S. Lines, where among other things, he became knowledgeable of all its detailed operating numbers. Mr. McCown was instrumental in expanding U.S. Lines, which included all of the financial analysis and financial planning efforts as well as growing involvement with people in the sales and operating side at U.S. Lines. Messrs. McCown and McLean co-founded Trailer Bridge, a U.S. flag container carrier that provided door-to-door service, where Mr. McCown served as its Chief Executive Officer for approximately sixteen years. Trailer Bridge owned and operated seven vessels, and operated hundreds of over-the-road tractors. The majority of cargo handled by Trailer Bridge moved under door-to-door service either by rail or truck. Trailer Bridge was the first container carrier to move 48' and 53' containers on its vessels and built the first vessels in the world configured for 53' containers.¹⁰ In 2006, Trailer Bridge was ranked first in terms of operating income as a percent of revenue in a comparison that ranked over fifty container shipping companies worldwide. (CX528-29).

After leaving Trailer Bridge, Mr. McCown continued to be heavily involved in the shipping industry, managing a \$20 billion hedge fund where he managed up to \$700 million of investments in global shipping companies, which required him to maintain relationships with industry stakeholders and analyze the financial data for global shipping companies. Currently, Mr. McCown is a non-resident senior fellow for the Center for Maritime Strategy, a non-profit, non-partisan think tank and research institution dedicated to studying maritime issues and their context within wider American national security policy. (CX 529-30).

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Since 2016, he has published a quarterly report on inbound container volume and a quarterly analysis on the financial results of the global container shipping industry, and also authored the book “*Giants Of The Sea: Ships & Men Who Changed The World,*” a book on the modern cargo shipping industry and how it developed. Mr. McCown is regularly cited by maritime and mainstream publications including *Bloomberg*, the *Wall Street Journal*, the *Financial Times*, and the *Economist*, and regularly advises, lectures and writes about maritime issues and consults with policymakers on marine matters. (CX 530).

Extensive experience in a trade or business qualifies one as an expert on industry practices. *See Goldberg v. 401 N. Wabash Venture LLC*, 755 F.3d 456, 462 (7th Cir. 2014) (president of a condominium hotel company was qualified as an expert on the problems that developers of this type of project are likely to encounter); *Chi. Painters*, 493 F.3d at 787-88 (experienced drywall installer and project manager were qualified to give opinions on customary rates for drywall installation); *United States v. Ramsey*, 165 F.3d 980, 984 (D.C. Cir. 1999) (admission of opinion testimony, given by Drug Enforcement Administration agent regarding drug trade was not plainly erroneous; while agent was not formally qualified as expert, agent described his qualifications, including his specialized knowledge, education, skill and experience, before giving testimony); *Robinson v. Dist. of Columbia*, 75 F. Supp. 3d 190, 197 (D.D.C. 2014) (experts can be qualified based on their experience).

COSCO’s objections that Mr. McCown lacks relevant industry experience in the shipping industry or that the size and scale of Trailer Bridge’s operations somehow disqualify him as an expert is contradicted by Mr. McCown’s decades-long relevant experience. Were it otherwise, his public analyses would not be regularly cited by maritime and mainstream publications including *Bloomberg*, the *Wall Street Journal*, the *Financial Times*, and the *Economist*. Mr. McCown is not

offered as an expert in the D&D dispute resolution specialist and has not drawn any of the numbers-crunching kinds of conclusions that scientific or technical experts in these fields would draw. To the contrary, he is testifying as an expert on the shipping industry based on his knowledge and experience gained from 40+ years in that industry.

Mr. McCown has first-hand experience and knowledge of the industry, and has otherwise been a member of the shipping community for decades, and is qualified to opine as an expert on shipping industry issues. *See Hangarter v. Provident Life & Acc. Ins. Co.*, 373 F.3d 998, 1015 (9th Cir. 2004) (“Rule 702 contemplates a broad conception of expert qualifications” and “[i]n certain fields, experience is the predominant, if not sole, basis for a great deal of reliable expert testimony.”) (quoting Advisory Committee Notes to Fed. Rule Evid. 702).

b. There is No Danger that the Court, As the Sole Trier of Fact, Will Be Misled or Unduly Influenced by McCown’s Opinions in his Report

Throughout its Motion, COSCO neglects to observe the critical point that this proceeding is, in essence, akin to a bench trial. Here, traditional concerns regarding the undue influence on jury decision-making are absent. *See Fiat Chrysler Auto. NV, FCA US LLC, & FCA Italy S.p.A v. Wallenius Wilhelmsen Logis. AS & Wallenius Wilhelmsen Logis. Am. LLC*, FMC Docket No. 17-09, 2019 WL 473434, at *4 (ALJ May 8, 2019) (finding that “the risk of prejudice from giving undue weight to marginally relevant evidence is minimal in a bench trial such as this where the judge is capable of assigning appropriate weight to evidence.”); *MJ Harbor Hotel v. McCormick & Schmick Rest. Corp.*, 599 F. Supp. 2d 612, 623 (D. Md. 2009); *see also, e.g., United States v. Hall*, 969 F.2d 1102, 1109-10 (D.C. Cir. 1992) (noting that in a bench trial the judge is unlikely to be swayed by the “aura” of an expert’s testimony).

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The Presiding Officer is fully capable of analyzing and weighing McCown's opinion in his Report, and then, based on her own expertise, assigning that opinion whatever probative weight, if any, it deserved. *See OJ Commerce v. Hamburg Sudamerikanische Dampfschiffahrts Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, FMC Docket No. 21-11, 2023 WL 3969857 at *41 (ALJ June 7, 2023), citing *Marine Repair Services of Maryland, Inc. v. Ports Am. Chesapeake, LLC*, Docket No. 11-11, 2013 WL 9808672, at *23 (ALJ Jan. 10, 2013), admin. final Mar. 20, 2013 ("[the expert] performing certain analyses does not disqualify the analyses; however, the source of calculations will be taken into account in terms of weight.").

Like *OJ Commerce*, the Presiding Officer knows the law and understands the ultimate role in both deciding what the law is and applying it to the facts in evidence. Because the Presiding Officer necessarily possesses substantial knowledge and expertise on D&D issues, there is no danger that the Presiding Officer will somehow be unduly swayed by Mr. McCown's expert opinions. Given the Presiding Officer's control of the issues and the inherent ability to weigh the evidence and Mr. McCown's opinions, COSCO has not established a legitimate basis for its extreme request that Mr. McCown's report be stricken in its entirety.

c. VCC Has Fully Complied with Its Expert Discovery and Disclosure Obligations.

Respondent's argument that VCC withheld relevant information on which its expert relied in generating his corrected report, is premised entirely on an avoidable misconception. In fact, the corrections to VCC's experts report rely exclusively on the very spreadsheet, VCC000005, that Respondent acknowledges it has had since February. Had Respondent agreed to VCC's request to meet and confer on this issue or bothered to take Mr. McCown's continued deposition as the parties agreed, this argument motion could, and should, have been avoided.

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During the deposition of VCC's expert on September 26, 2024, VCC and its counsel learned for the first time that there was a discrepancy between the numbers included in the references to VCC000005 in Mr. McCown's report and the numbers in that VCC000005. VCC's counsel and Mr. McCown immediately investigated the issue and discovered that Mr. McCown had used VCC000005 to form his preliminary opinion when he was retained in April, which was further supported by his analysis of COSCO's financial result compared to the industry. (CRX 39). However, as the preparation of his report intensified in June, he mistakenly used an incorrect file (that had not been provided to him by VCC) to fill in the specific numbers in tables 9, 10, 12 and 13. *Id.* And, as Mr. McCown had initially reviewed the numbers provided by VCC, and they were similar to the numbers on which he relied, none of his conclusions changed when he inserted the new calculations. (CRX 40). Indeed, Sections I-VI of his report, regarding COSCO's financial performance and revenue from detention and demurrage charges, was not changed at all.

Once VCC and Mr. McCown became aware of the inadvertent mistake, they immediately rectified it and provided a corrected report the day after Mr. McCown's deposition, on September 27. The sole changes to the report were the input of the correct numbers into the analysis. Mr. McCown's conclusions did not change, and to facilitate COSCO's review, VCC provided a redline against the initial report. VCC also readily agreed to make Mr. McCown available on another date of COSCO's choosing to be deposed on the corrections to the report. During Mr. McCown's deposition, the parties scheduled his deposition to continue on October 4. (CRX 40). However, COSCO's counsel subsequently cancelled that deposition on October 3, without explanation. *Id.* Rather than questioning Mr. McCown regarding the mistake and how it changed his report, (which again, was minimal—no conclusions were changed), COSCO chose to file a motion to dismiss

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purely because the report was corrected. Aware of this gamesmanship, the Presiding Officer promptly denied COSCO's motion to dismiss less than a week after it was filed. (Dkt. 47).

Despite the denial of its motion to dismiss, COSCO has never asked VCC for an explanation as to the changes to the report, which VCC would have readily provided. Instead, COSCO has chosen solely to take the hardline position that it was "untimely," and therefore could not be admitted. Indeed, when VCC tried to question COSCO's rebuttal expert, Daniel Hackett, regarding the existence of any prejudice to COSCO resulting from the corrections, COSCO's counsel refused to let him respond based on its unilateral determination that such questions were somehow outside of the scope of the deposition:

VCC's Counsel: I'm actually going to ask some questions about Mr. Hackett's ability to review the amended report. I understand that you will and can instruct your witness not to answer. But I'm going to put those questions on the record. First, Mr. Hackett, did you have a chance – I know you testified that you reviewed the red line. Did you have a chance to evaluate whether any of your conclusions would have to be changed in response to Mr. McCown's revised report?

COSCO's Counsel: Objection. Outside the scope of today's deposition. Mr. Hackett, please do not respond to that question.

VCC's Counsel: Mr. Hackett, how long would you need to evaluate and respond to Mr. McCown's revised report?

COSCO's Counsel: Objection. Outside the scope of today's deposition. Mr. Hackett, please do not respond.

VCC's Counsel: Based on your review of Mr. McCown's revised report, did he add any new substantive arguments?

COSCO's Counsel: I'm going to again object and instruct Mr. Hackett not to answer this question.

VCC's Counsel: Would you agree that the only changes Mr. McCown made to his report were corrections to the amount of accessorial charges VCC contends that COSCO assessed?

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COSCO's Counsel: Objection. And if you want to keep doing this. . . we are going to have to go off the record.

VCC's Counsel: I have three more questions.

COSCO's Counsel: Okay. Nope. I'm going to object. Can we go off the record, please?

VCC's Counsel: In his revised report, did he change the analysis of COSCO's financial performance?

COSCO's Counsel: I object.

VCC's Counsel: I understand that you're objecting and instructing the witness not to answer.

COSCO's Counsel: Yes. And I have a standing order to my client not to respond to your questions.

Indeed, even when VCC's counsel raised the point that Mr. Hackett's rebuttal report was by its own terms, solely a response to Mr. McCown's assessment of COSCO's financial performance, the portion of the McCown report that was not changed, COSCO's counsel inexplicably refused to allow Mr. Hackett to respond:

VCC's Counsel: Okay. Wasn't the scope of your rebuttal report limited to critiquing Mr. McCown's analysis of COSCO's financial performance? This is actually about his rebuttal report. So I would expect he can answer.

COSCO's Counsel: No. I'm going to go ahead and instruct the witness not to answer that question.

VCC's Counsel: I'm asking about the scope of his report.

COSCO's Counsel: I hea[r]d the question,

VCC's Counsel: And what's the basis of your objection?

COSCO's Counsel: The basis of my objection is that it's outside the scope of today's deposition.

VCC's Counsel: I'm asking about the scope of the report that you just said is the subject of today's deposition.

COSCO's Counsel: (Responding in the negative)

[RX388-391].

COSCO cannot now, after providing no evidence of any prejudice it suffered, and after refusing to allow VCC to even investigate that potential prejudice, claim that the report must be excluded.

d. The Revisions to the McCown Report on July 2 and October 17 Were in Response to COSCO's Requests.

COSCO's repeated reference to four "Editions" of the McCown report is intentionally misleading. Of the three times VCC revised its report, two were directly in response to requests made by COSCO.

Specifically, on July 2, 2024, Mr. McCown amended his report to include Excel worksheets that underlay industry data contained in his quarterly analysis of industry results footnoted in the report with a link to where such quarterly analyses were archived and available. (CRX 40-41).

On September 27, as discussed above, Mr. McCown revised his report to correct the mistake identified in his September 26 deposition.

In COSCO's Motion to Dismiss, it raised the argument that it believed the charges on VCC000005 for shipments destined to Skokie, Illinois were not within the FMC's jurisdiction. Though VCC did not agree that this was true, it decided to concede those charges in order to simplify the issues in this case. Thus, it served an amended report on October 17, 2024, which still based the section on COSCO's fees to VCC entirely on VCC000005. The only change was that Mr. McCown included the Skokie shipments from the data. (CRX 41).

Thus, to be clear, each revision to the report was made prior to the end of discovery, and the only revisions to which COSCO actually takes issue in its argument were made in the September 27 version.

e. McCown Relied Solely on the Date in VCC00005 in his Discussion of COSCO's Charges to VCC.

Contrary to COSCO's unsupported speculation, all data in Mr. McCown's corrected report regarding COSCO's accessorial charges to VCC was drawn from VCC000005. (CRX 41). This data was produced to COSCO back in February 2024 at the very beginning of this case. The two "new" spreadsheets COSCO refers to contain *no new data*. Mr. McCown simply prepared them exclusively using the data from VCC000005 to show his work. This is explained in Mr. McCown's report and was communicated to COSCO's counsel. COSCO's counsel also had the opportunity to ask any questions about this to Mr. McCown on October 4, but chose not to continue his deposition.

COSCO mistakenly argues that VCC relies on an unproduced spreadsheet—again a completely avoidable mistake had it gone forward with Mr. McCown's deposition on Dec 4 or requested any information whatsoever from VCC regarding this issue.

f. The Corrections to the McCown Report Were Justified and Harmless.

As the Presiding Officer indicated in her Order, the Scheduling Order merely stated the date that "initial reports" were due. Nowhere did it preclude corrections to those reports. As discussed above, two of the three corrections were made purely in response to requests made by COSCO.

The correction of the report to address McCown's inadvertent mistake was entirely harmless. Hackett's report did not rely on any of the data that was changed, COSCO had the opportunity to depose McCown on the revisions and chose not to, and COSCO submitted a revised version of Hackett's rebuttal report on October 18. COSCO has not even attempted to identify

what prejudice it could have suffered; nor would it allow VCC to explore this prejudice in Mr. Hackett's deposition.

Accordingly, because Mr. McCown's corrections were justified and harmless, there is no basis to exclude Mr. McCown's report or testimony.

IV. CONCLUSION

As detailed above and in VCC's opening brief, as a result of COSCO's unreasonable practices and procedures, VCC should be awarded \$1,161,807.00 in damages as well as interest, attorneys fees, and such other and further relief as is deemed just and proper.

DATED: December 20, 2024

Respectfully submitted,

/s/ Jennifer M. Oliver

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CERTIFICATE OF SERVICE

I certify that on the 20th of December, a true and correct copy of the foregoing Motion to Compel and Attachments were served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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